

Saving Dreams

Street children create a banking institution of their own where they not only save hard-earned rupees but also give loans to those who need them most



RAVI'S SARANI

STREET CHILDREN AT KHAZANA WITH PANICKER

| By Nandini Vaish |

It is an idea that children can bank on, well, literally. The Children Development Khazana started by development organisation Butterflies works like a cooperative bank run by street children for street children. Earlier called a bank, Khazana had to drop the formal title due to RBI guidelines, which state that only institutions with licences can be called banks. Founded in 2001, Khazana has 405 members, though most have shifting accounts as they form a floating population. As of February, it had savings of Rs 1.3 lakh—mostly used by children for food and visits to their families.

Rita Panicker, director, Butterflies says: "If the children have nowhere to put their money, it ends up being stolen or wasted in drugs and gambling." Khazana has 15 collection points in Delhi where children can deposit their money, while the branch itself is located in an alley near the old Delhi Railway Station. It opens for a couple of hours every evening to allow children to withdraw cash and even take small loans. The children themselves decide whom to give a loan to. "Giving them the power to make decisions is preparing them for life," Panicker says.

Members can open two types of accounts—a savings account and a current or *chalta-phirta* account. The manager is elected from among them once every six months and the functioning of the bank is decided through monthly meetings. Those elected are taught the basic principles of banking and one of the most important rules for that person is to be polite to others.

Sixteen-year-old Tabe Ali came to Delhi in search of work from Allahabad after having lost his father. As a ragpicker, he earned as much as Rs 150 daily and saved that in Khazana. In a few years he had saved Rs 2 lakh, enough to build a 'pucca' house for his family. Similarly, Rakesh, a resident of Nizamuddin, withdrew some money to celebrate his birthday—his first-ever celebration. As Khazana develops accountability in children by making them stakeholders, NGOs have approached Butterflies to help them develop the model. Today Khazana is present in eight Indian cities and internationally in Afghanistan, Nepal, Bangladesh, Sri Lanka and Kyrgyzstan. The institute now plans a mobile banking centre which will go about town. Truly an idea whose time has come. ■